

ORIGINAL

(S E R V E D)
(MARCH 25, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

March 25, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

MOTION FOR SUMMARY JUDGMENT DENIED

Complainants (GovGuam) have moved for summary judgment and intervenor Military Sealift Command supports them. Sea-Land Service, Inc. (Sea-Land) replied.

In ruling on any motion for summary judgment, the task is to determine whether a genuine issue exists as to any material fact. *United States v. Diebold, Inc.*, 369 U.S. 654, 655 (1962); *Sherwood v. Washington Post*, 871 F.2d 1144, 1145-46 (D.C. Cir. 1989); *Associated Electric Coop, Inc. v. Morton*, 507 F.2d 1167, 1178 (D.C. Cir. 1974), cert. denied, 423 U.S. 830 (1975). Where a genuine issue exists as to a material fact, summary judgment must be

denied. *Board of Education v. Pico*, 457 U.S. 853, 872 (1982); *Popham, Haik, Schnobrich, Kaufman & Doty, Ltd. v. Newcomb Secur. Co.*, 751 F.2d 1262, 1263, 1266 (D.C. Cir. 1985).

The party moving for summary judgment, in this case GovGuam, has the burden of showing, by credible evidence, the absence of a genuine issue as to any material fact, and that it is entitled to judgment as a matter of law. *Adickes v. S.H. Kress & Co.*, 398 U.S. 144, 157 (1970); *McKinney v. Dole*, 765 F.2d 1129, 1134-35 (D.C. Cir. 1985); *Bouchard v. Washington*, 514 F.2d 824, 827 (D.C. Cir. 1975). All inferences to be drawn from the underlying facts contained in the evidentiary materials must be viewed in the light most favorable to Sea-Land, the party here opposing the motion. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 255 (1986); *United States v. Diebold*, 369 U.S. at 655.

Where the evidence demonstrates a genuine dispute on any issue of fact that is material to the moving party's claim, or where the moving party's evidence is lacking in credibility, summary judgment may not be granted. See *Sartor v. Arkansas Natural Gas Corp.*, 321 U.S. 620 (1944) (reversing grant of summary judgment for defendant where affidavits submitted by defendant had been given by interested or biased witnesses); *Mazaleski v. Treusdell*, 562 F.2d 701, 717 (D.C. Cir. 1977) (summary judgment generally inappropriate in cases where motivation of party or witness is at issue and credibility is of critical importance).

In Count IV of their amended complaint, complainants allege that Sea-Land has illegally operated as a water carrier between ports of call in Hawaii and Guam without having a tariff on file with this Commission. GovGuam contends that Sea-Land is not providing a joint-through service in the Hawaii-Guam trade as a matter of fact; that there

is no express or implied agreement between Sea-Land and any Guam motor carrier; that Sea-Land does not quote or collect a joint rate; that there is no joint billing of services; that Sea-Land has imposed a pick-up and delivery service which is under FMC jurisdiction; that none of the carriers holds this service out as a joint-through service; and that Sea-Land does not adhere to its own "Memo Rate Sheet," *infra*. GovGuam also contends that Sea-Land's failure to file a tariff with the ICC or FMC renders its rates unenforceable; that the ICC lacks jurisdiction over Sea-Land's Hawaii-Guam service as a matter of law; that the ICC must have independent jurisdiction over motor carriers before it can exercise jurisdiction over a joint-through route; and that the ICC does not have jurisdiction over motor carriers operating within territories or possessions of the United States.

Sea-Land has been operating in the Hawaii-Guam trade since 1987 when it purchased assets of the bankrupt U.S. Lines. It began by operating a port-to-port service subject to FMC Tariff 521, FMC-F No. 64, which it canceled, effective June 22, 1989. On August 1, 1989, Sea-Land instituted a mandatory service in Guam as part of its Hawaii-Guam service. This was done pursuant to an internal Sea-Land document, never filed with either the ICC or FMC, entitled "Memo Rate Sheet No. 521" (Memo Rate Sheet). GovGuam contends that Sea-Land's Memo Rate Sheet required shippers to arrange with a trucking company of the shipper's choice for either one-way or round-trip movement of all containers shipped by Sea-Land between the dock and the consignee's facility on Guam on traffic from Hawaii; and that Sea-Land did not quote a joint rate for any service it offered; instead, it quoted only a separate charge for the movement of the containers between the dock on the consignee's facility by truck.

On the basis of affidavits and a deposition of John A. Limtiaco, Vice-President of Pacific Trucking Co. (PT), a Guam-based motor carrier, GovGuam alleges that PT is neither participating with Sea-Land in a joint-through service nor holding itself out as providing one; and that PT has never entered into a concurrence nor negotiated a division of revenues with Sea-Land. What has happened, according to complainants, is that Sea-Land has imposed a method of operation on the Guam shipping industry which requires that any recipient of containers on Guam operate according to the following procedures: The shipper who is receiving cargo contacts any trucking company it chooses to select. That trucking company goes to the dock to pick up a container and delivers it to the shipper's facility. The trucking company may not haul that container unless it bills Sea-Land. The trucker then bills the shipper for any additional charges associated with that move, according to GovGuam, and separately for the return of the empty container.

This is one area of substantial factual dispute between the parties. Sea-Land believes that the return move of the empty container is not an issue here and that any additional charges, beyond those stated in its Memo Rate Sheet, imposed by a motor carrier on a shipper/consignee for transporting a loaded container from the dock to an interior point on Guam, amount to double billing and are illegal.

Sea-Land contends that the Memo Rate Sheet was not filed with the ICC because our sister agency has no jurisdiction over motor carriage in either Hawaii or Guam and it was not filed here with the FMC because such port-to-interior-point rate structure is beyond our jurisdiction. The service held out by the Memo Rate Sheet (see Exhibit 2 to GovGuam Memorandum) commences at Sea-Land's marine yard in Hawaii and ends in one of several

inland "zones" in Guam designated in Rule 56 of the Memo Rate Sheet. This geographic coverage is specifically stated in the Rate Sheet itself. (See p. 5 of GovGuam Exhibit 2.) The Rate Sheet lists separately the charge to the shipper for inland Guam movements. This separate statement is made necessary by differences in rates ranging from \$48 to \$165 per container for service to the various inland Guam zones. (See Reighter Declaration (Dec.), ¶ 4.) However, no shipper has the option under the service to purchase from Sea-Land a port-to-port service that terminates at the water's edge in Guam, according to Sea-Land. (Reighter Dec., ¶ 5.)

Sea-Land explains that it has allowed all qualified motor carriers on Guam who wished to participate in Sea-Land's interior point service to do so without limiting its patronage to particular motor carriers. (See Pruitt Dec., ¶ 9.) It further asserts that an offer that contemplates acceptance by performance becomes a contract when the performance is provided, *infra*.

A single Sea-Land bill of lading defines the liability and terms of carriage for the entire Hawaii/interior point Guam movement. According to Sea-Land there is no separate motor carrier bill of lading presented to the shipper for the movement from the Guam pier to the inland shipper/consignee facility. The motor carriers on Guam work for the account of Sea-Land and are paid directly for their services by Sea-Land. (See Reighter Deposition, June 26, 1990, Tr. at 65-76.) Sea-Land collects from the shipper or consignee charges that include the inland motor service, and Sea-Land then pays the motor carrier. A port-to-port service is not provided by Sea-Land under the Hawaii to Guam Memo Rate Sheet. (Reighter Tr. at 64-66.)

The shipper is not under any circumstances obligated to pay the motor carrier for the movement from the Port of Guam to shipper's facility at an interior point. The shipper/consignee pays Sea-Land a sum calculated pursuant to the Memo Rate Sheet. This sum is inclusive of all transportation from Honolulu (or Hawaiian outport) to the shipper/consignee's interior point Guam location. Sea-Land is responsible to the shipper for any damage that occurs to cargo during the inland motor carrier movement on Guam. Pursuant to Sea-Land practice and the terms of the Memo Rate Sheet, it asserts that there is no charge that the motor carrier can legitimately make against the consignee or shipper for any part of the Hawaii to interior point Guam movement. However, Guam motor carriers are free to establish whatever rates they can negotiate for movements of containers in the reverse direction from the shippers' facilities back to the pier. Those movements are not the subject of this proceeding nor of GovGuam's summary judgment motion. The only "separate" bill a shipper/consignee can properly receive from any motor carrier is the bill for a separate movement altogether: The return movement of an empty or loaded container to the pier.

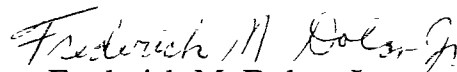
Another point of substantial dispute is whether Sea-Land operates pursuant to agreement with its Guam-based motor carriers. Sea-Land points to the Restatement (Second) of contracts which makes clear that an offer that contemplates acceptance by performance becomes a contract when the performance is provided. See section 50. Sea-Land states that it has a standing offer to Guam-based motor carriers to reimburse them for inland hauls as part of Sea-Land's Hawaii/interior point Guam service. The offer contemplates acceptance by performance. The uniform course of dealing between Sea-Land

and its motor carriers (including PT) has been that the motor carriers have accepted the offer by performance and have thereafter invoiced Sea-Land for the amount set forth in Sea-Land's offer. Sea-Land has paid the amounts invoiced and the contract or agreement is therefore fully executed. Like any other motor carrier on Guam, PT's continued performance constitutes acceptance of Sea-Land's offer. (See Pruitt Dec. at ¶ 9.) The only additional invoice issued by motor carriers is for the return to Sea-Land of the empty container from the Guam shipper. As noted, however, this movement is outside the coverage of the Memo Rate Sheet and is not the subject of this proceeding.

The affidavits and exhibits attached to Sea-Land's reply show that Sea-Land consistently provides its Hawaii/Guam shippers with a port-to-interior-point intermodal service; that Sea-Land provides the inland trucking through its arrangements with Guam-based motor carriers; that Sea-Land issues bills of lading for the through movement; that Sea-Land invoices the shipper/consignee for the entire movement, including the inland Guam portion; that Sea-Land assumes liability for the entire movement and pays the inland motor carrier for his services; and that the motor carrier does not bill the shipper for the inland component of the Hawaii/Guam move.

As seen, there are numerous factual differences between the parties as to whether there are any port-to-port movements in Sea-Land's Hawaii/Guam service and whether its port-to-interior-point service is legitimate. This clearly precludes grant of the motion.

GovGuam's Motion for Summary Judgment is denied.


Frederick M. Dolan, Jr.
Administrative Law Judge